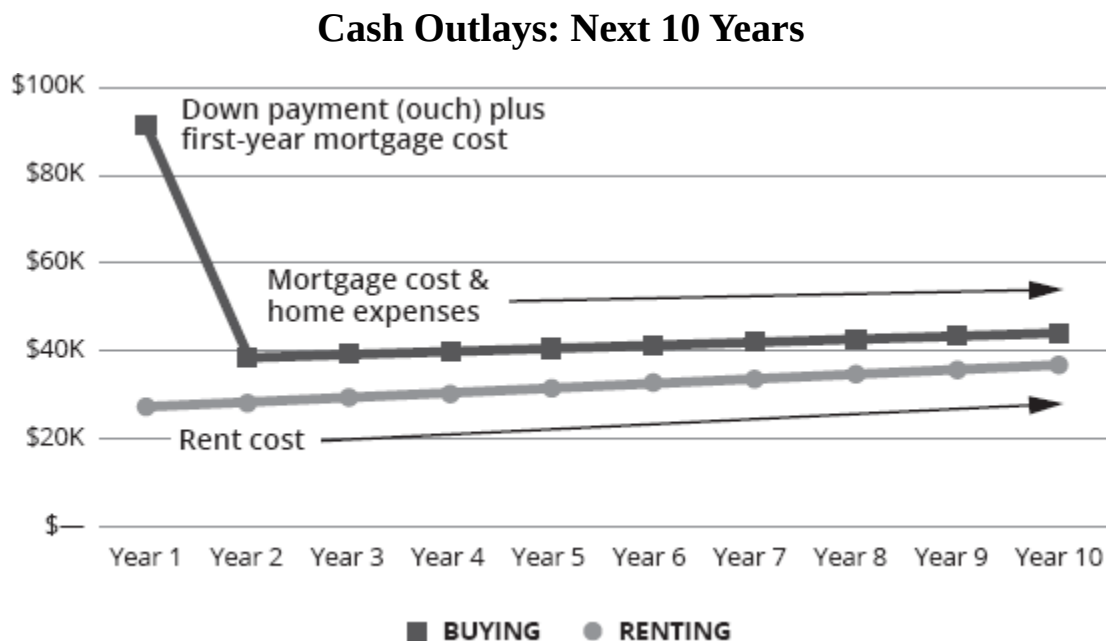


That \$27,600 per year to live in an apartment is starting to sound really good, isn't it?

To clarify, the two main comparisons we're looking at are:

- **Up-front cost.** In this example, the apartment renter has no up-front cost, while the home buyer has \$52,000. Both will vary based on the specific situation—sometimes, you have to put down a deposit before renting an apartment, and sometimes you can buy a home with a lower down payment—but no matter what, you're bound to pay more up front to own a home.
- **Total net worth created or destroyed.** Your net worth is the whole kit and caboodle of your financial health. Squander all your savings on a porcelain doll collection? That's a loss in your net worth. Invent America's first pizza vending machine? Cha-ching. Spend all your savings on a down payment but then slowly build equity in a property? That's a big initial hit that eventually regains value over time.

Let's look at a visual of our two competitors in both these categories.



Starting with that up-front cost, you can see how financially painful that first year of owning a home can really be. Even by year ten, the homeowner